

W. P. No. 73758 / 2019

Full Bench, National Industrial
Relation Commission and 02
others

JUDGMENT

Date of Hearing:	14.04.2026
Petitioner(s) in the titled & connected Petitions By:	Mr. Pervaiz Inayat Malik, Advocate
Respondent No. 3 in the titled and connected Petitions By:	Mr. Mukhtar Ahmad Malik, Advocate
<i>Amicus Curiae</i>	Mr. Nauman Qaiser, Advocate

ABID HUSSAIN CHATTHA, J: This single Judgment shall decide the titled and connected Writ Petition Nos. 73811, 73791, 73760, 73763, 73767, 73807, 73802, 73800 and 73796 of 2019 involving identical set of facts and common questions of law which are directed against the same consolidated impugned Orders dated 27.10.2007 and 23.07.2019 passed by the Presiding Officer, Punjab Labour Court No. 8, Bahawalpur (the “**Labour Court**”) and Full Bench of National Industrial Relations Commission, Islamabad (the “**NIRC**”), respectively.

2. The titled and connected Petitions are based on similar facts except minor discrepancies with respect to dates of employment and designation of posts. Hence, facts of the titled Petition are listed. Respondent No. 3 (the “**Respondent**”) filed a Grievance Petition stating therein that he was appointed as messenger on 28.02.1996 with Petitioner No. 1 / State Bank of Pakistan (the “**SBP**”) against permanent post and served without breaks in his service. Nevertheless, Chief Manager, SBP Banking Services Corporation / Petitioner No. 2 created artificial breaks in the service of the Respondent in order to deprive him from attaining the benefits of permanent workman. Upon request to treat him as permanent workman, Petitioner No. 2 extended threats. He was constrained to file an

Appeal before Federal Service Tribunal, Islamabad but after the Judgment passed in case titled “Muhammad Mubeen-us-Salam and others v. Federation of Pakistan through Secretary, Ministry of Defence and others” (PLD 2006 Supreme Court 602), the Appeal of the Respondent abated. On 11.08.2006, Petitioner No. 2 verbally informed the Respondent that his services were no more required which compelled him to serve grievance notice against the verbal order dated 11.08.2006 qua termination of services seeking reinstatement with full back benefits.

3. The Grievance Petition was contested on the premises that the Respondent was engaged on work charge basis for specified period and thereafter, in intervals, as such, he was employed from time to time. The Respondent was never appointed on permanent basis and as such, he has no *locus standi* to seek permanent employment.

4. The Labour Court recorded evidence of the parties and explored the pivotal questions as to whether the Respondent has attained the status of permanent workman due to afflux of time, thus, verbal termination order dated 11.08.2006 is unlawful and *locus standi* of the Respondent to file the Grievance Petition.

5. The Labour Court found that appointment of the Respondent as daily wager was conceded by the Petitioners, therefore, he had *locus standi* to institute the Grievance Petition. It is established that after the initial appointment of 89 days, the Respondent had been continuously working in the service of the Petitioners with some artificial breaks in order to deprive him from the benefits of permanent workman. The Industrial and Commercial Employment (Standing Orders) Ordinance, 1968 (the “**Standing Order**”) confers right to a workman to treat him as a permanent workman who has been engaged on work of permanent nature likely to last more than nine months and has satisfactorily completed a probationary period of three months in the same or another occupation in the industrial or commercial establishment. As such, the Respondent was

employed against the permanent post and artificial breaks in the service of the Respondent designed to take away benefit of permanent employment was unlawful. Moreso, the Respondent was also not a daily wager because he was not paid daily but on monthly salary basis. Hence, he was appointed against the permanent post and has attained the status of permanent workman due to afflux of time in the service of the Petitioners. Accordingly, the Grievance Petitions in the titled and connected Petitions were allowed by setting aside the oral termination order dated 11.08.2006 and declaring them as permanent workmen with a direction to the Petitioners to maintain their service record and grant them benefits, accordingly.

6. The Petitioners preferred ten separate Appeals against the consolidated Order passed by the Labour Court before the Punjab Labour Appellate Tribunal which were later transferred to NIRC after promulgation of the Industrial Relations Act, 2012 (the “**IRA**”) read with law laid down in case titled, “Messrs Sui Southern Gas Company Ltd. and others v. Federation of Pakistan and others” (2018 SCMR 802) and order dated 19.10.2018 passed by Larger Bench of NIRC in case No.12 T(59)/2015-K. The NIRC while dismissing the Appeals of the Petitioners observed that the State Bank of Pakistan Staff Regulations, 2001 (the “**Regulations, 2001**”) apply to those persons who fall within the definition of civil servants and not upon workmen, therefore, the Respondent was a ‘workman’ in terms of provisions of the Standing Order. Further, the Respondent being in continuous service of the Petitioners for several years on contract basis was entitled to permanent employment and was unlawfully verbally terminated without due process of law envisaged in the Standing Order.

7. Learned counsel for the Petitioners submitted that Petitioner No. 1 is the Central Bank of the Country. SBP came into existence under the State Bank of Pakistan Act, 1956 (the “**Act, 1956**”) and performs its

duties within the scope and ambit of its constituent statute. Similarly, Petitioner No. 2 is Chief Manager of subsidiary of the SBP which came into existence by means of promulgation of the SBP Banking Services Corporation Ordinance, 2001 (the “**Ordinance, 2001**”), therefore, the Petitioners are not commercial banks and as such, are excluded in terms of their functions from the application of the Standing Order which has been wrongly applied by the forums below to grant relief to the Respondent. Hence, the impugned Orders are *coram non judice* inasmuch as the same were rendered without determining the pivotal question as to whether the Petitioners fall in the definition of ‘industrial’ or ‘commercial’ establishment under the relevant labour laws, particularly, the Standing Order. In this context, it is contended that the SBP under its constituent statute is entrusted with non-commercial functions including issuance of currency, regulation and supervision of banks, monetary policy formulation, financial system stability and custody of national reserves. These functions are neither industrial nor commercial in nature but are intrinsic to monetary sovereignty of the State. Further, the Respondent also does not fall in any of the categories of the employees envisaged by the Regulations, 2001 which do not recognize any class of employees as ‘workmen’ as defined in the Standing Order or IRA and thus, the forums below erred in law by holding the Respondent as a workman and applying the Standing Order qua his claimed right to permanent employment.

8. Conversely, learned counsel for the Respondent contended that there is no dispute regarding the Respondent’s status as a workman, and therefore, he was fully competent to invoke the rights conferred under the Standing Order read with the provisions of the IRA. The Petitioners by all means are trans-provincial commercial establishments and as such, NIRC had the jurisdiction to determine the grievance of the Respondent. The Petitioners by all means fall within the definition of a commercial establishment within the scope and ambit of the Standing Order since the

functions assigned to a modern Central Bank are not limited to merely regulate the economy but include multiple commercial activities such as auction of T-bills earning substantial profits. Hence, the concurrent findings rendered by the forums below do not warrant any interference by this Court in exercise of constitutional jurisdiction.

9. Arguments heard and record perused with the able assistance of learned counsels for the parties as well as *amicus curiae*.

10. The SBP is established under the Act, 1956 with the objective to achieve domestic price stability by way of regulating the monetary and credit system of Pakistan and without prejudice to the said primary objective, contribute to the stability of the financial system of Pakistan and supporting the general economic policies of the Federal Government to foster development and full utilization of the country's productive resources. It has been established as a statutory institution with its entire paid-up share capital held exclusively by the Federal Government. The SBP describing its functions in its official website proclaims that it performs both traditional and developmental functions to achieve macro-economic goals. The traditional functions are classified into two groups i.e. (a) the primary functions including issue of notes, regulation and supervision of the financial system, bankers' bank, lender of the last resort, banker to Government and conduct of monetary policy; and (b) the secondary functions including the agency functions like management of public debt, management of foreign exchange, etc. and other functions like advising the government on policy matters and maintaining close relationships with international financial institutions. It is acknowledged that non-traditional or promotional functions include development of financial framework, institutionalization of savings and investment, provision of training facilities to bankers and provision of credit to priority sectors. As such, the main functions and responsibilities of the SBP can be broadly categorized as regulation of liquidity, ensuring the soundness of

financial system; exchange rate management and balance of payments; and performance of developmental role. It is pertinent to mention that according to the audited financial statement for the year ending on 30.06.2025, the SBP earned a record net profit of Rs. 2.428 trillion which after statutory appropriations was remitted to the Federal Government. (For reference see www.sbp.org.pk and the SBP annual report 2024-25).

11. Petitioner No. 2 / the SBP Banking Services Corporation has been established under the Ordinance, 2001 as a statutory subsidiary of the SBP mandated to perform functions delegated to it by the SBP under Section 5 thereof. Thus, the SBP and the SBP Banking Services Corporation operating in a holding subsidiary relationship as statutory institutions, perform a host of functions which in addition to their traditional central banking roles include activities of commercial nature leading to generation of substantial profits. Therefore, they squarely fall within the definition of a commercial establishment in terms of Section 2(b) of the Standing Order.

12. There is no dispute that both the SBP and SBP Banking Services Corporation are trans-provincial federal statutory institutions and the NIRC is vested with the jurisdiction to hear and resolve disputes within the scope and ambit of the IRA as well as the Standing Order.

13. Section 33 of the IRA grants the right to an individual workman to seek redressal of his grievance by instituting a grievance Petition in respect of any right guaranteed or secured to him by or under any law. Further, Section 1(4) of the Standing Order relates to its application on industrial or commercial establishment and is reproduced as under:-

“1(4) It applies to-

(a) every industrial establishment or commercial establishment wherein twenty or more workmen are employed, directly or through any other person whether on behalf of himself or any

other person, or where so employed on any day during the preceding twelve months;

(c) such class or classes of other industrial and commercial establishments as Government may, from time to time, by notification in the official Gazette, specify in this behalf:

Provided that nothing in this Ordinance shall apply to industrial and commercial establishments carried on by or under the authority of the [Federal] or any Provincial Government, where statutory rules of service, conduct or discipline are applicable to the workmen employed therein.

Provided further that the provisions of Standing Orders 10B and 11, clauses (6) and (8) of Standing Order 12 and Standing Order 15 shall not apply, in the first instance, to any industrial establishment wherein not more than forty-nine persons were employed on any day during the preceding twelve months but Government may, by notification in the official Gazette, extend all or any of the said provisions to any such industrial establishment or any class of such establishment.”

14. It is pertinent to mention that exclusion mentioned in first proviso to Section 1(4) of the Standing Order did not apply to the Petitioners who are independent statutory institutions. For reference, see case titled, “Punjab Small Industries Corporation v. Punjab Labour Appellate Tribunal, Lahore and others” (1988 SCMR 1725). Even otherwise, the Regulations, 2001 have been framed under Section 54 of the Act, 1956 which have been held as non-statutory. Reliance is placed on cases titled, “Chief Manager, State Bank of Pakistan, Lahore and another v. Muhammad Shafi” (2010 SCMR 1994); “Muhammad Zaman and others v. Government of Pakistan through Secretary, Finance Division (Regulation Wing), Islamabad and others” (2017 SCMR 571); and “Muhammad Sharif v. The Managing Director, State Bank of Pakistan & another” decided by this Court vide Judgment dated 07.09.2017. Further, contention of learned counsel for the Petitioners that no category of workmen is envisaged in the Regulations, 2001 or the applicable regulations of Petitioner No. 2 is not relevant to the facts and circumstances of the case inasmuch as the Respondent was admittedly employed as a workman by the Petitioners and was never proceeded with

under any such regulations. The statutory right conferred by the Standing Order and / or the IRA overrides the internal regulations of the Petitioners and thus, a right conferred thereunder cannot be denied or taken away in terms of such regulations. Hence, the Standing Order is squarely applicable and the forums below rightly applied the same to adjudicate the grievance of the Respondent.

15. It follows from the above that the forums below aptly concluded that the Respondent was employed as a workman on permanent basis who remained in the service of the Petitioners for more than nine months and as such, by efflux of time attained the status of permanent workman in terms of clause 1(b) of the Schedule to the Standing Order. Needless to reiterate that the Respondent was terminated without due process of law as envisaged under the provisions of the Standing Order and was rightly reinstated in service by declaring him as a permanent workman. For reference, also see the Order dated 16.02.2026 passed by the High Court of Sindh at Karachi in Constitutional Petition No. D-2667 of 2024 in case titled, *“State Bank of Pakistan v. The Full Bench of NIRC & others”*.

16. In view of the above, the titled and connected Petitions are devoid of any merit and the same are hereby **dismissed**.

(Abid Hussain Chattha)
Judge

Approved for reporting.

Judge